How Does a Global Firm Hold Together?

Stephen Weymouth
Dean’s Professor

GEORGETOWN UNIVERSITY



"Why are they giving up now? They have good prices and a good variety of products."

YOUR IB VOICE

NAME THE MISREADING

Wal-Mart gave up Germany and South Korea. How can such a successful company fail in two developed economies?

10 minutes · Individual · Notes permitted

What did Wal-Mart misread?



"They tried to sell packaged meat when Germans like to buy meat from the butcher."

Wal-Mart's model makes assumptions about how households shop

One large store visited once a week assumes a car trunk and storage at home.

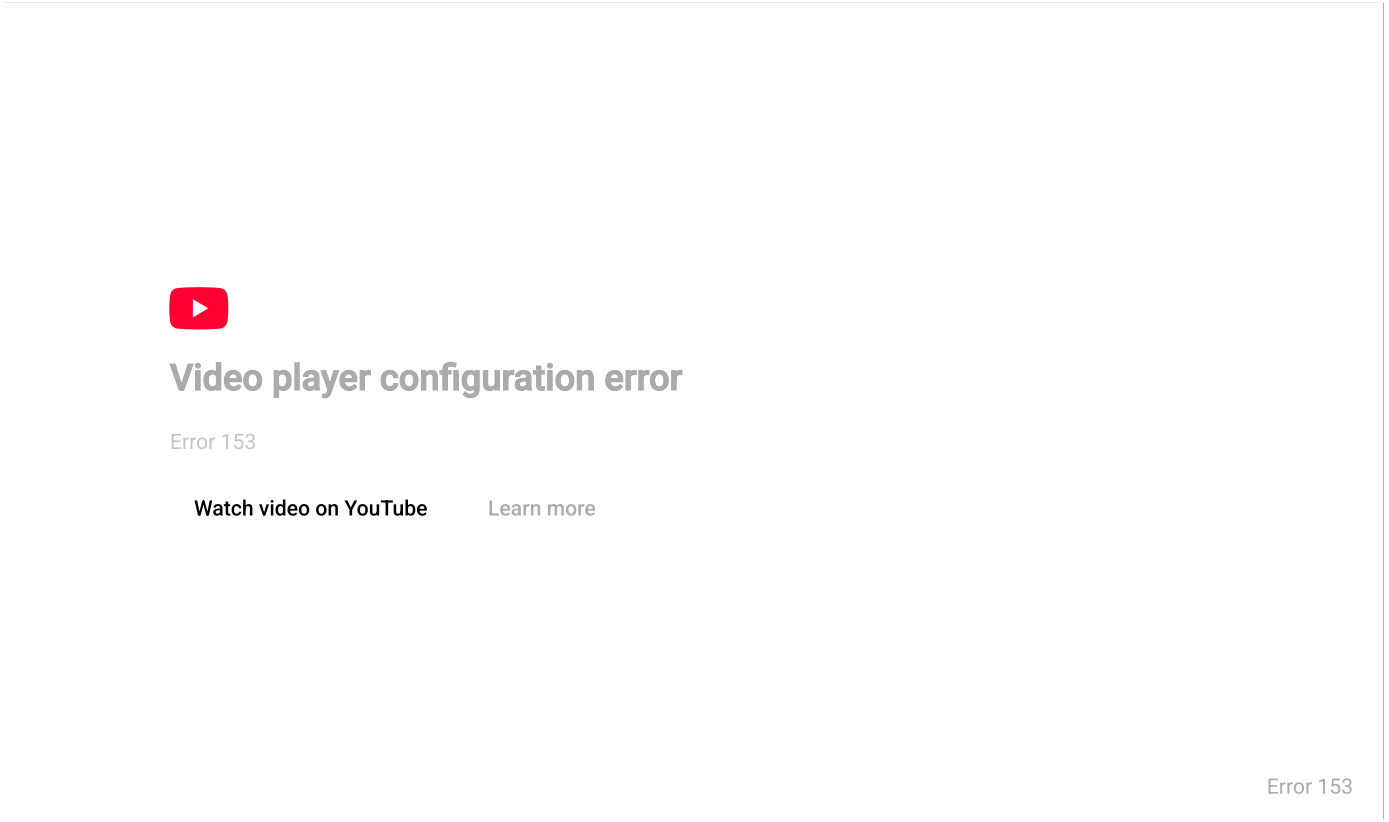
Germans and Koreans shopped every day at specialist stores and bought small packages; Aldi had 4,100 stores in Germany.



Alex C, *Supermarket in Seoul*, 2001 · Flickr via Wikimedia Commons, CC BY 2.0.

> Which habits could Wal-Mart have adapted to, and which would have meant abandoning its model?

Wal-Mart could drop its habits but not German law



Wal-Mart dropped the required smile, and the morning chant, which Germans found strange.

The unions it treated as enemies (“They thought we were communists”) are part of German labor law and could not be dropped.

Walmart, *Walmart Associate Cheer*, January 2011 · Flickr via Wikimedia Commons, CC BY 2.0.

Wal-Mart’s fix was to let locals run the stores

70%

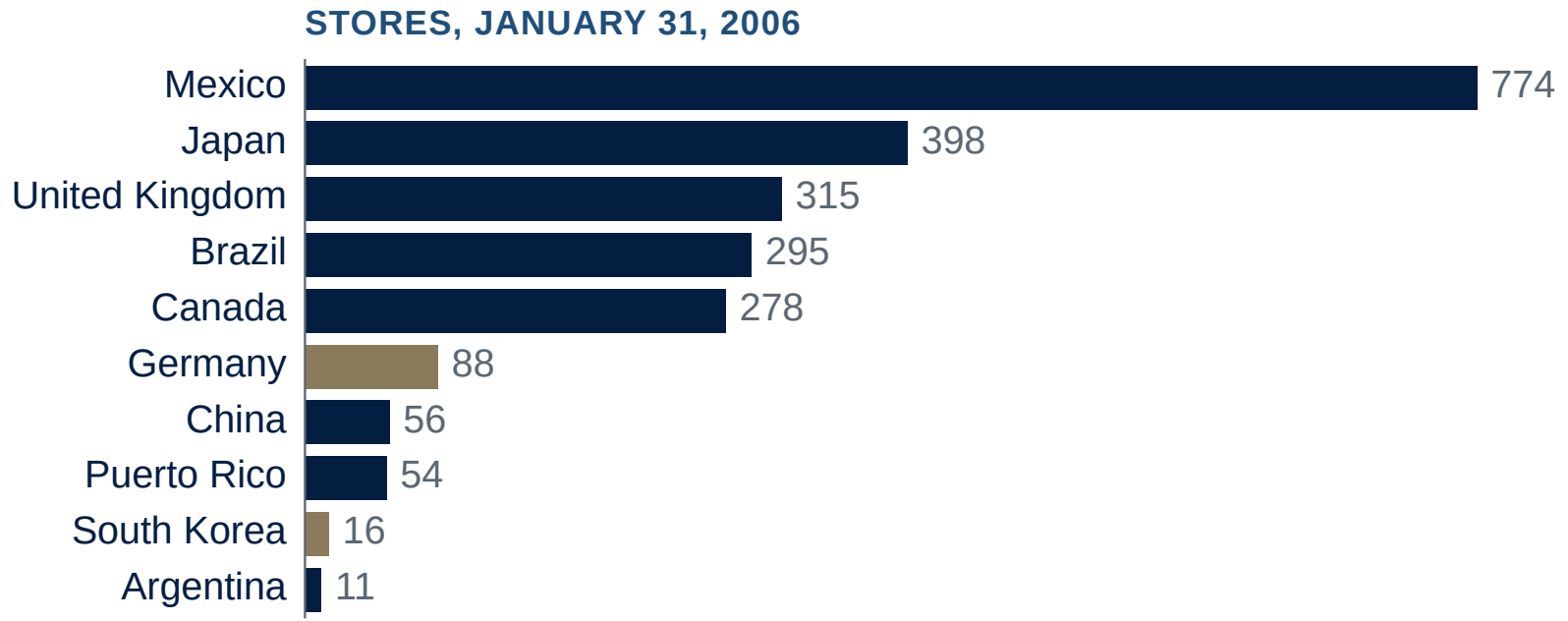
of international sales came from stores with names like Asda, Seiyu, or Bompreço

Wal-Mart’s first German executives had “little feel for what German consumers wanted”; in Mexico, Cifra’s own managers stayed and knew the market.

Wal-Mart’s lesson was “to use local management” and to care less whether stores carried its name.

> What does Wal-Mart give up when local managers run the stores under a local name?

Wal-Mart left two of its ten markets in 2006



Wal-Mart Stores, Inc., *Form 10-K for the fiscal year ended January 31, 2006*, International segment unit counts.

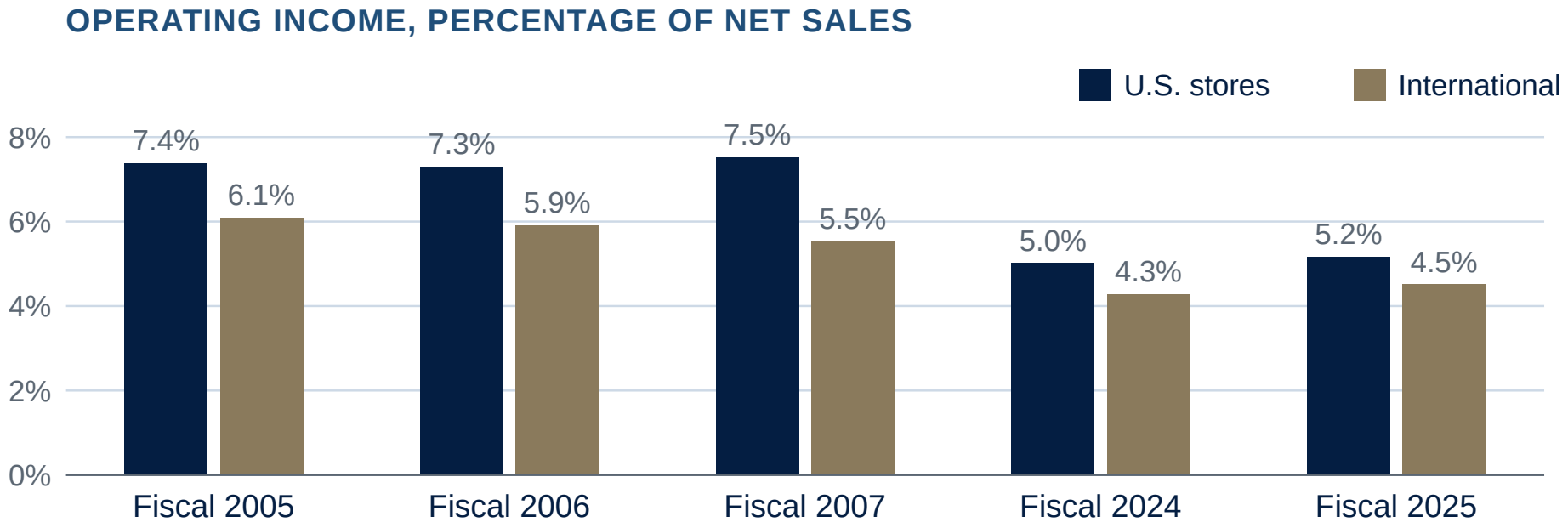
The two markets Wal-Mart left were also two of its smallest, and Brazil became competitive only after Wal-Mart bought Bompreço and reached 295 stores.

> The article's own answer is scale: "The obvious lesson is to try to bulk up."

Did Wal-Mart fail in Germany because of culture, or because it was too small?

> With 800 German stores instead of 85, would shoppers have changed their habits, or could Wal-Mart have changed its own?

The same formula earns less abroad



Wal-Mart Stores, Inc., *Form 10-K, fiscal 2007*, and Walmart Inc., *Form 10-K, fiscal 2025*, segment results.

Twenty years of local management have narrowed the gap between Wal-Mart's margins at home and abroad, and have not closed it.

> The *liability of foreignness* is the extra cost a firm pays abroad that a local rival does not pay. What factors do you think contribute to this liability?

What did they misread?

Germans shopped every day in small amounts and bought their meat from a butcher.

Wal-Mart’s smiling clerks and morning chant struck Germans as strange.

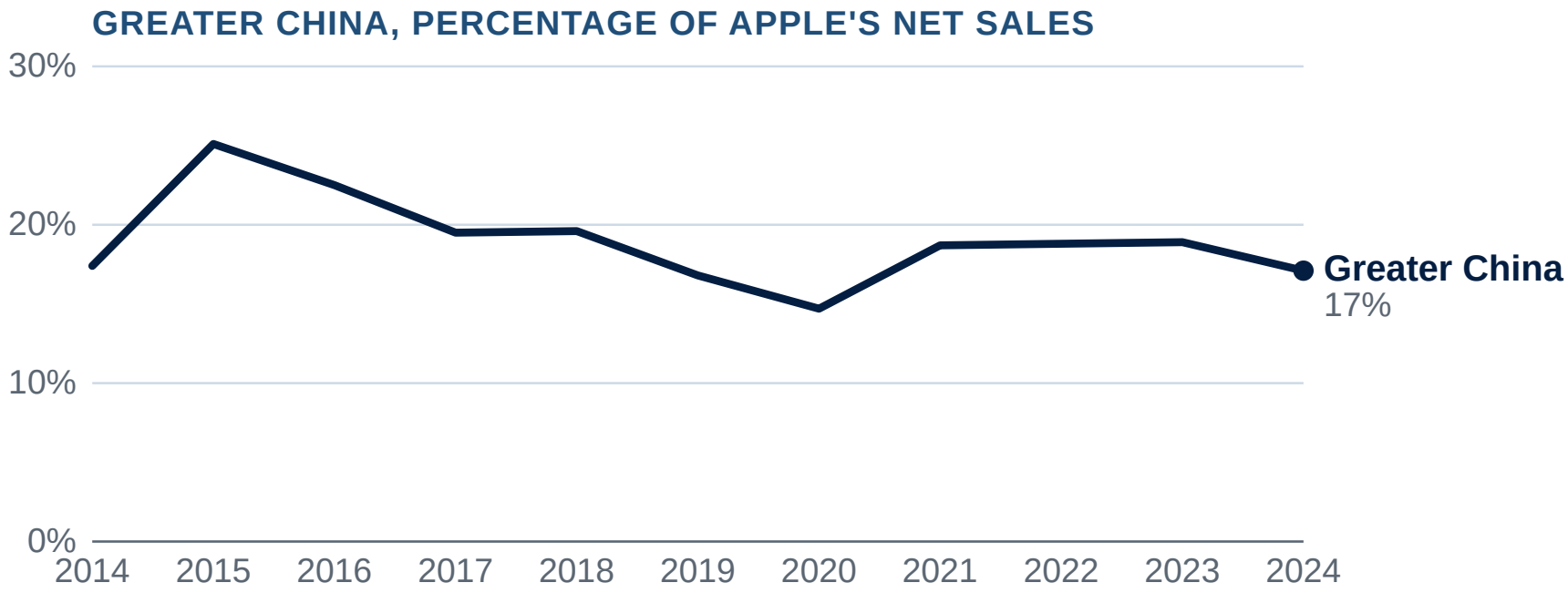
Wal-Mart treated German unions as enemies, and German law makes them partners (coordinated bargaining).

Not mentioned but also important: store hours, zoning

> Which of these are about the shopper, which about the workplace, and which about the company itself?

What did Apple misread?

Greater China was a fifth of Apple’s sales in 2017

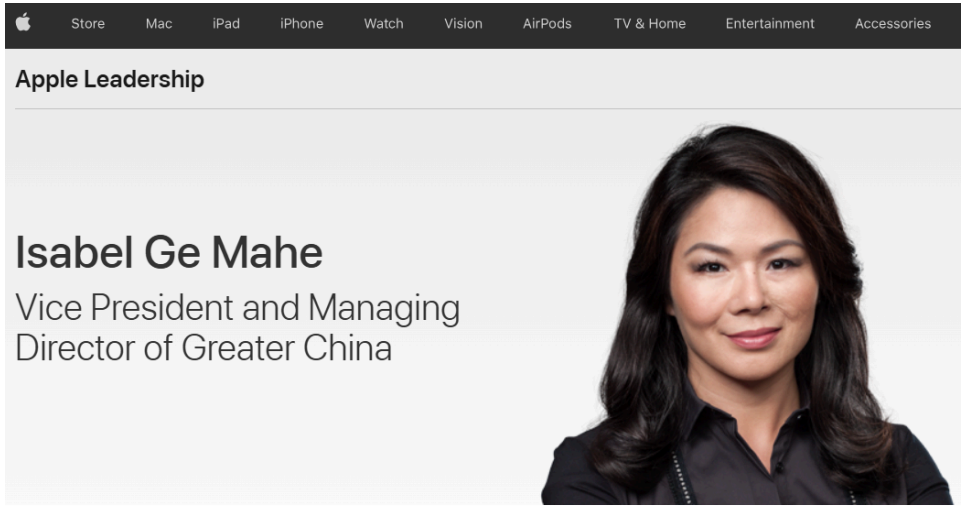


Apple Inc., *Forms 10-K*, net sales by reportable segment, fiscal 2014 to 2024.

For a decade Greater China has supplied roughly a fifth of Apple’s sales, more than any market outside the Americas and Europe.

> Why did a company earning a fifth of its sales in China have no one “in charge” there?

An unusual role at Apple



Apple Inc., *Apple Leadership: Isabel Ge Mahe* · photograph © Apple Inc., used for teaching.

Born in Shenyang, she moved to Vancouver at sixteen

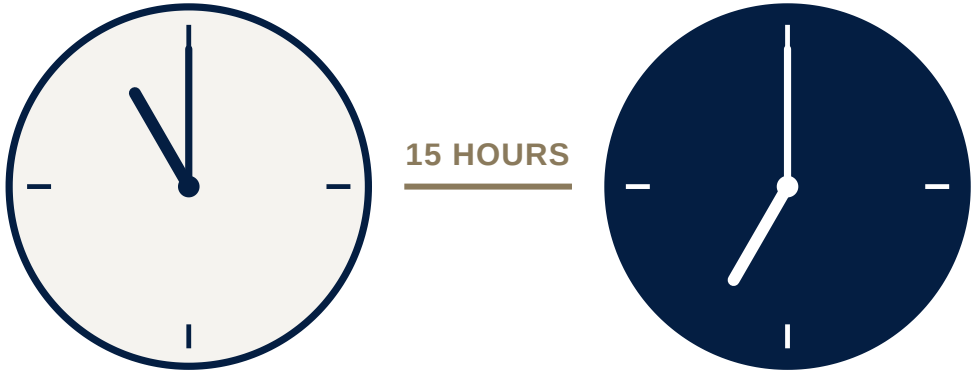
Built Palm's wireless team, and then ran Apple's wireless engineering for nine years.

> In your view, what do you think the job required her to know?



“Why do we have to wait for people in Cupertino to wake up in the morning to answer an email so we can make a decision?”

The question was about authority, not time zones



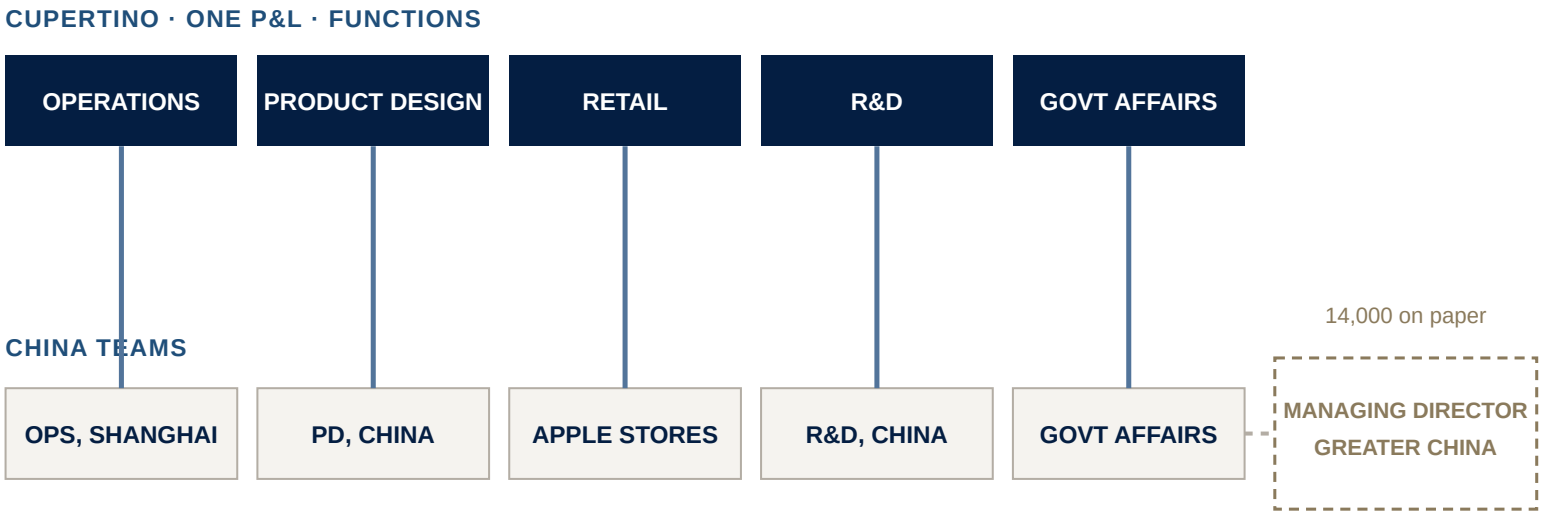
SHANGHAI
10 a.m.

CUPERTINO
7 p.m., the day before

Operations in Shanghai wanted to decide with vendors on the spot; Product Design in Cupertino held the decisions.

Her answer, that local teams should seek advice from Cupertino, was the headquarters' line.

Apple has a P&L leadership model



Steve Jobs organized Apple by function under a single profit-and-loss statement, so no executive is responsible for a country, and a country manager has nothing to run.

> On paper she oversaw 14,000 employees, and every one of them reported to a function.

Apple determined that political optics matter

Headquarters wanted “the face of China” to be Chinese

Apple kept the position so that officials had an executive to meet.



Daniel L. Lu, *Aerial view of Apple Park*, 2018 · Wikimedia Commons, CC BY-SA 4.0.

> A figurehead meets a political demand for local leadership yet moves few decision out of headquarters.

What would break at Apple if its Shanghai team could make its own decisions?

> Wal-Mart let local managers run its foreign stores; why did Apple give China only a title?

How does a global firm hold together?

Wal-Mart’s model was built for U.S. shoppers, U.S. employees, and U.S. law, and Germany differed on all three.

More stores may have given Wal-Mart time to correct course, but local managers were needed.

Apple keeps its decisions in Cupertino and gave China a managing director whose job is to represent the company rather than to run it; for a product designed centrally, that has been enough.

In contrast, country managers of firms whose daily business is local, need a deep understanding of the local culture and politics, or the willingness to learn it.